ForD2 Airlines

FINAL SIMULATION REPORT

8-Quarter Performance Analysis • April 2026

8

Quarters of Data

TEAM MEMBERS

- B McKenzie Miller — Fares / Fleet / Fuel / Maintenance
- C Madison Turner — Routes & Regions
- D Kelby Smith — Wages & Social Causes
- E Md Nahid Rahman — Marketing / Financing / Services

Due: Thursday, April 30, 2026 • 11:59 PM • Grader: Erick Chang

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Simulation Overview — ForD2 Airlines at a Glance

Fleet
TP-300s
Normal Config

Routes
3A / 3B / 3E1 / 3F
4 Active Routes

Fare
37¢ per mile
Normal Structure

Wages
+2% above
Prevailing Wage

Maint.
Level 2
$3,500/aircraft/qtr

Fuel
Contract
All on contract

FINAL CUMULATIVE NET PROFIT

$735,348

Rank 8 overall • Peaked at $792,237 in Q6

Peak Stock: $31.05 (Q5) • Best Reliability: 95.0% (Q5) • Best Quality: 86 (Q4 & Q5)

Simulation ran Quarter 1–8 | 12-airline competitive environment

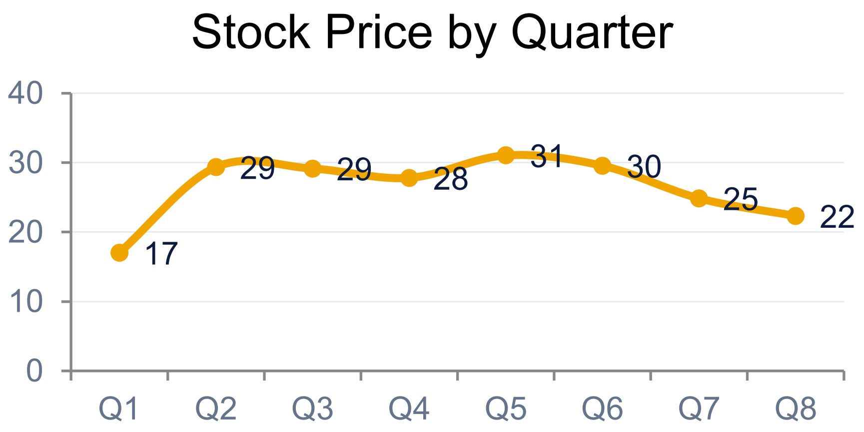
Dashboard Results — Quarters 1 through 4

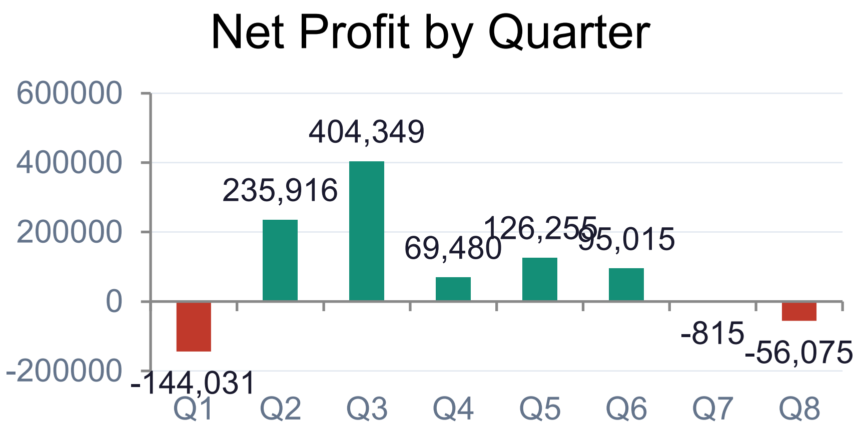
	QUARTER 1	QUARTER 2	QUARTER 3	QUARTER 4
Stock Price	$17.03 Rank 12	$29.36 Rank 7	$29.15 Rank 8	$27.81 Rank 5
Gross Revenue	$3.93M Rank 1	$4.13M Rank 1	$1.83M Rank 10	$1.52M Rank 12
Net Profit	$(144,031) Rank 12	$235,916 Rank 2	$404,349 Rank 8	$69,480 Rank 4
Reliability	91.9% Rank 4	93.1% Rank 6	94.4% Rank 5	94.4% Rank 4
Quality	70 Rank 2	74 Rank 5	81 Rank 5	86 Rank 6
Load Factor	49.7% Rank 12	57.2% Rank 9	67.8% Rank 5	50.9% Rank 8
	Cum. Net: $-139K	Cum. Net: $97K	Cum. Net: $501K	Cum. Net: $571K

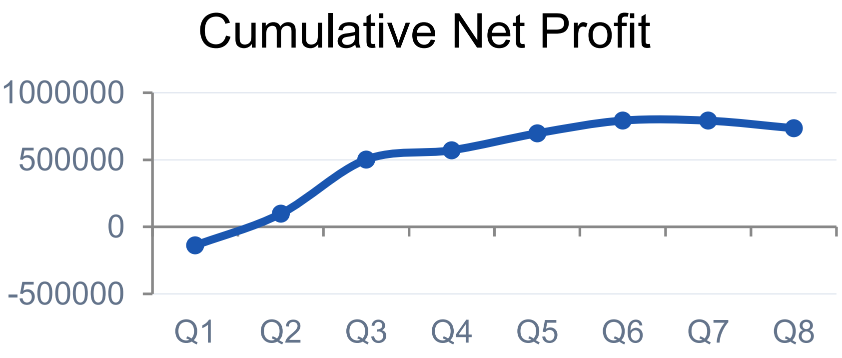
Dashboard Results — Quarters 5 through 8

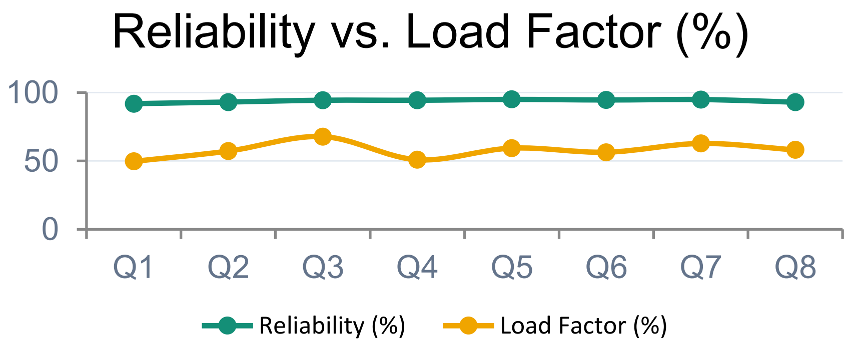
	QUARTER 5	QUARTER 6	QUARTER 7	QUARTER 8
Stock Price	$31.05 Rank 5	$29.56 Rank 7	$24.86 Rank 10	$22.32 Rank 10
Gross Revenue	$1.58M Rank 12	$1.52M Rank 12	$1.09M Rank 12	$1.06M Rank 12
Net Profit	$126,255 Rank 6	$95,015 Rank 8	$(815) Rank 10	$(56,075) Rank 10
Reliability	95% Rank 5	94.6% Rank 7	94.9% Rank 7	93% Rank 9
Quality	86 Rank 6	81 Rank 10	85 Rank 9	82 Rank 9
Load Factor	59.4% Rank 7	56.4% Rank 10	62.8% Rank 5	58.1% Rank 9
	Cum. Net: $697K	Cum. Net: $792K	Cum. Net: $791K	Cum. Net: $735K

Performance Trends — Stock Price & Profitability









B Fares, Fleet, Fuel & Maintenance — McKenzie Miller

Fare per Mile
37 cents/mile • Normal Structure • Consistent all 8 quarters

Cabin Service
Free soft drinks + pretzels/peanuts • Cost: $1.10/passenger

Service Fees
Checked baggage + seat selection fees collected

Fleet Type
TP-300 (Normal configuration) • 4 aircraft total

Routes Operated
3A (600 mi) · 3B (400 mi) · 3E1 (400 mi) · 3F (420 mi)

Maintenance
Level 2 • Additional cleaning & maintenance • $3,500/aircraft/qtr

Fuel Contract
All fuel purchased on contract every quarter

Acquisitions
No new aircraft acquired • No disposals made

KEY METRICS

Avg Cost/ASM
$0.206
Consistent efficiency

Avg Yield/ASM
$0.181
Stable revenue yield

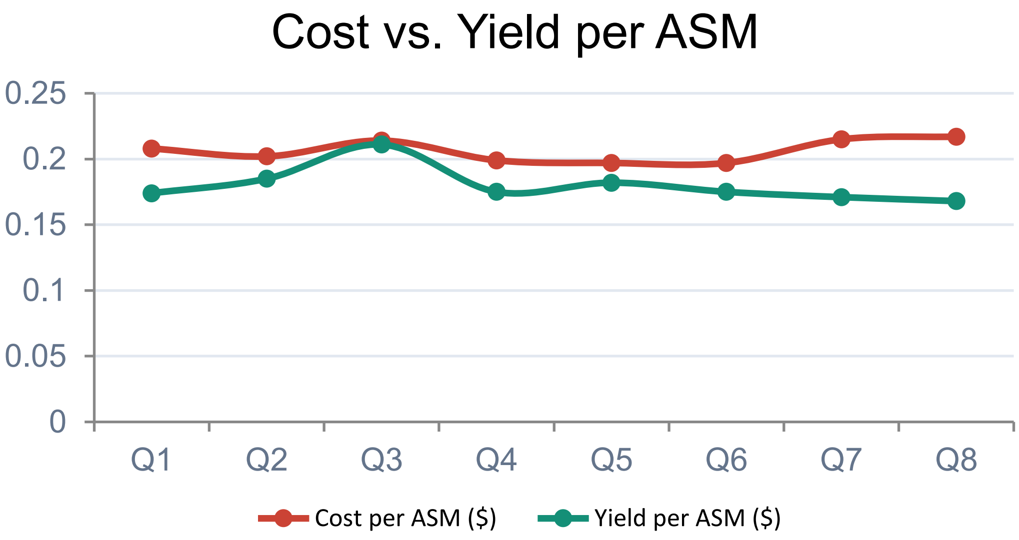
Best Op.Expense
$1.16M
Q7 — lowest cost

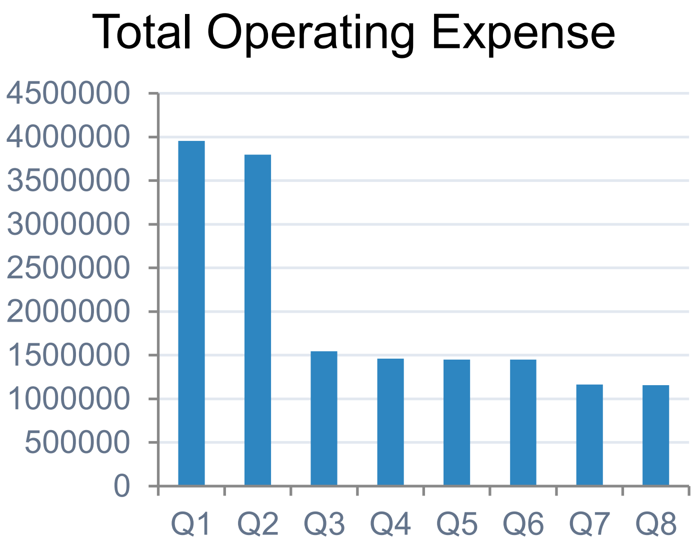
Highest Revenue
$4.13M
Q2 — Rank 1

Avg Reliability
93.9%
Strong operational record

Best Quality Score
86
Q4 & Q5 achievement

B Fleet Performance — Cost & Yield Analysis (McKenzie Miller)





Q1 Challenge

High operating expense ($3.96M) from large fleet vs. low passenger load (49.7%).

Q2 Turnaround

Revenue hit $4.13M — Rank 1! Cost per ASM dropped to $0.202 as load factor improved to 57.2%.

Q3–Q8 Stability

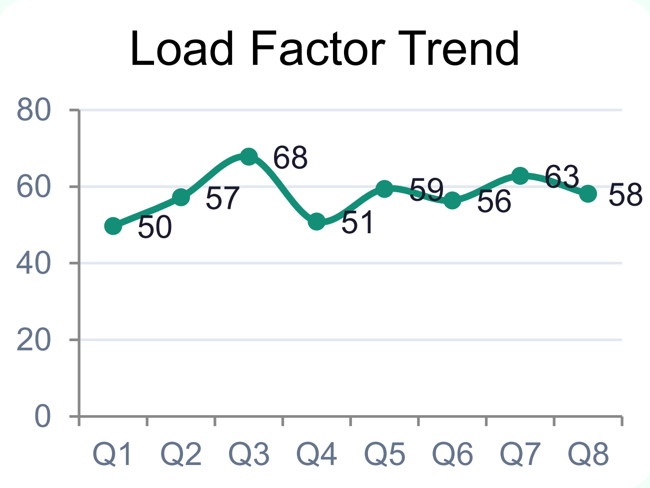
Scaled to right-size operations. Operating costs held ~$1.1–1.6M range with stable cost/ASM ~$0.197–0.217.

C

Routes & Regions — Madison Turner

Active Route Network

Route	Distance	Aircraft	Flights
3A	600 Miles	1 TP-300 (Normal)	1
3B	400 Miles	1 TP-300 (Normal)	1
3E1	400 Miles	2 TP-300 (Normal)	2
3F	420 Miles	2 TP-300 (Normal)	2



🗺️ Route Strategy

Maintained 4 stable routes throughout all 8 quarters. No routes were added or removed, providing operational consistency.

📊 Load Factor Journey

Started at 49.7% (Q1, Rank 12), improved to 67.8% peak in Q3 (Rank 5), then settled 56–63% range in later quarters.

💡 Route 3F Sale

Applied 2-Month Sale on Route 3F to drive demand. Strategic fare promotion helped maintain passenger volume.

✈️ Geographic Focus

Short-to-medium haul (400–600 mile) regional routes. Efficient range for TP-300 fleet operations.

D

Wages & Social Causes — Kelby Smith

Human Resources & Compensation Policy

Compensation Policy

+2.00% above prevailing wage for ALL employees

Maintained every quarter Q1–Q8

Quality & Training

$8,000 per quarter budget

Invested in staff quality consistently

HR Philosophy

Competitive wages to attract & retain talent

Supported service reliability 93–95%

Special Decision (Q8)

Hiring: Diverse candidate — college degree, experienced cabin attendant, award-winning

Diversity & inclusion commitment

📊 Quality Score Progression: 70 (Q1) → 74 (Q2) → 81 (Q3) → 86 (Q4-Q5) → 81 (Q6) → 85 (Q7) → 82 (Q8)

SOCIAL RESPONSIBILITY

Environmental Causes

Selected as social responsibility area. Sustained commitment to environmental initiatives across all quarters.

Hiring Diversity

Q8 Special Decision: Chose diverse, qualified candidate. Aligned with stated D&I values.

Above-Market Wages

Paid 2% above prevailing wage. Resulted in reliable, quality-focused workforce maintaining 93–95% reliability.

Training Investment

$8,000/quarter training budget drove quality score from 70 → 86 over the simulation.

E

Marketing, Financing & Services — Md Nahid Rahman

Marketing Strategy

Promotion Budget	$7,000 per quarter
Advertising Budget	$6,000 per quarter
In-Flight Magazine	Yes — active throughout
Sales Force	0 salespersons (cost-efficient approach)
Social Perf. Budget	$0 (environmental causes focus)
Social Resp. Area	Environmental Causes

Financing Decisions

Loans	No short-term or long-term loans taken
CDs	No 3-month CDs purchased
Stock	No stock sold across simulation
Dividends	$0 dividends paid
Stock Dividend	None issued
Strategy	Conservative — self-funded operations

PASSENGER SERVICES DELIVERED

✈️ In-Flight

Free soft drinks
Pretzels or peanuts
$1.10/passenger cost

💼 Fees

Checked baggage
Seat selection
Ancillary revenue

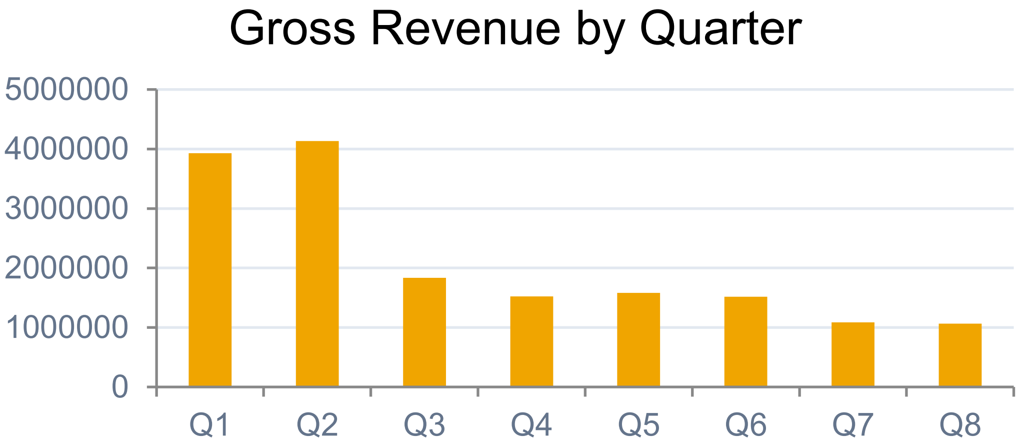
📰 Marketing

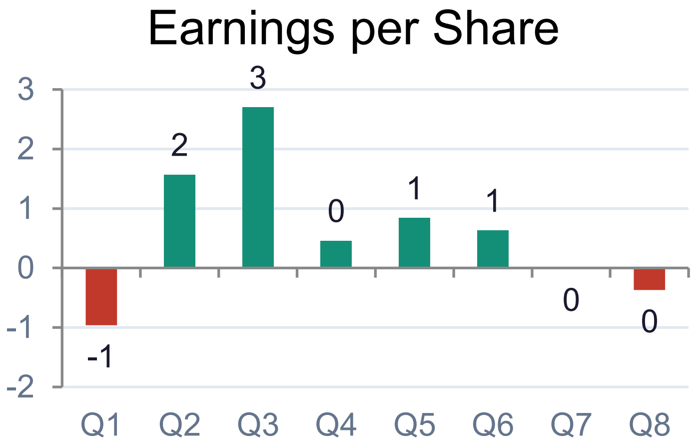
In-flight magazine
Promotion campaigns
Brand consistency

🌿 Social

Environmental causes
Community focus
No extra budget needed

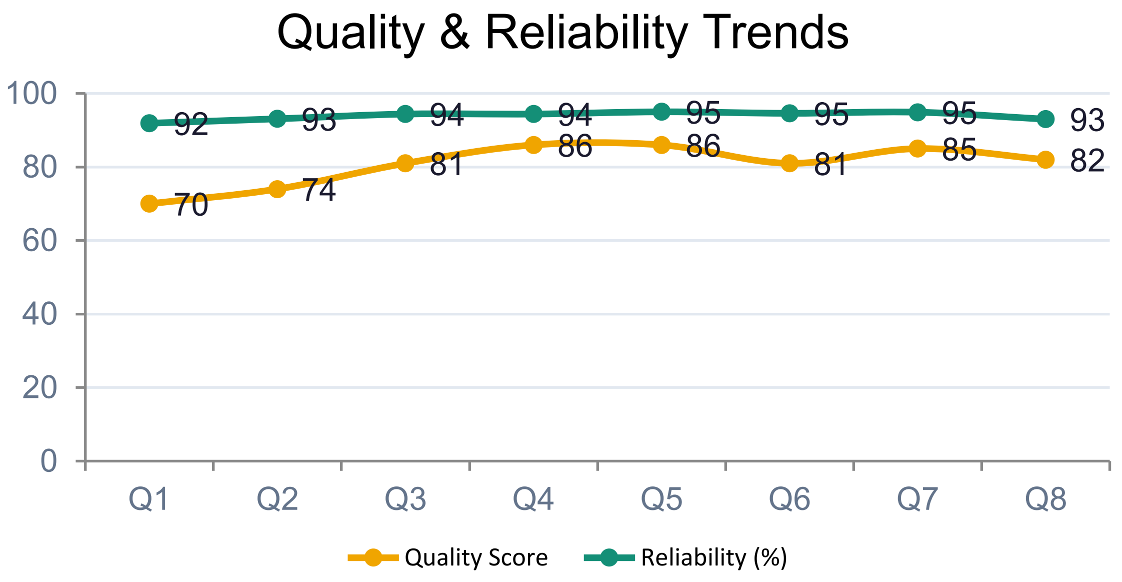
Financial Deep-Dive — Revenue, Costs & EPS





Quarter	Revenue	Op. Expense	Net Profit	EPS	Cum. Net
Q1	$3.93M	$3.96M	**$(144,031)**	$(0.96)	$-139K
Q2	$4.13M	$3.80M	**$235,916**	$1.57	$97K
Q3	$1.83M	$1.54M	**$404,349**	$2.70	$501K
Q4	$1.52M	$1.46M	**$69,480**	$0.46	$571K
Q5	$1.58M	$1.45M	**$126,255**	$0.84	$697K
Q6	$1.52M	$1.45M	**$95,015**	$0.63	$792K
Q7	$1.09M	$1.16M	**$(815)**	$(0.01)	$791K
Q8	$1.06M	$1.16M	**$(56,075)**	$(0.37)	$735K

Quality & Reliability — Operational Excellence



Best Quality

86

Q4 & Q5

Best Reliability

95.0%

Q5 — Rank 5

Q1 Quality

70

Rank 3 — early strength

Key Drivers of Reliability & Quality

- ✓ Level 2 maintenance ($3,500/aircraft/qtr) — reduced mechanical issues
- ✓ +2% above-market wages — motivated, experienced crew
- ✓ Fuel contract — stable, predictable operations without shortage risk
- ✓ $8,000/quarter training budget — continuous staff development

Competitive Ranking — ForD2 vs. 12-Airline Field

Category	Q1	Q2	Q3	Q4	Q5	Q6	Q7	Q8	Best
Stock Price	**#12**	#7	#8	#5	#5	#7	**#10**	**#10**	**#5**
Gross Revenue	**#1**	**#1**	**#10**	**#12**	**#12**	**#12**	**#12**	**#12**	**#1**
Net Profit	**#12**	**#2**	#8	#4	#6	#8	**#10**	**#10**	**#2**
Reliability	#4	#6	#5	#4	#5	#7	#7	#9	**#4**
Quality	**#3**	#5	#5	#6	#6	**#10**	#9	#9	**#3**
Load Factor	**#12**	#9	#5	#8	#7	**#10**	#5	#9	**#5**
Yield/ASM	**#11**	**#11**	#8	#9	**#10**	**#11**	**#12**	**#12**	**#8**
Cost/ASM	#8	**#11**	#4	**#11**	**#11**	**#12**	**#10**	#6	**#4**
Cumulative Profit	**#12**	**#11**	**#10**	#8	#9	#8	#8	#8	**#8**

Rank 1–3 (Top)   Rank 4–9 (Mid)   Rank 10–12 (Low)

12-airline simulation | ForD2 competed across all 8 quarters

Plan Fulfillment Review — Were Our Goals Met?

B Fares & Fleet — DONE

Maintain 37¢/mile fare, TP-300 fleet, Level 2 maintenance

Held fare and fleet consistent all 8 quarters. Maintenance Level 2 throughout.

B Fuel Management — DONE

Use fuel contract for price stability

All fuel purchased on contract every quarter — no spot-price exposure.

C Route Network — DONE

Operate 4 routes (3A, 3B, 3E1, 3F)

Maintained all 4 routes with stable scheduling throughout simulation.

C Load Factor — PARTIAL

Grow passenger load factor above 60%

Peaked at 67.8% (Q3) but averaged ~58% overall. Struggled in Q1 (49.7%) and Q8 (58.1%).

D Wages — DONE

Pay +2% above prevailing wage

Compensation policy maintained at +2% above prevailing wage for all employees, all quarters.

D Social Causes — DONE

Support environmental causes

Environmental causes selected as social responsibility area throughout simulation.

E Marketing — DONE

Run promotions & in-flight magazine

$7K promotion + $6K advertising + in-flight magazine maintained consistently.

E Financing — DONE

Operate without debt financing

Zero loans, zero stock sales — fully self-funded. Conservative, stable approach.

E Profitability — DONE

Achieve positive cumulative net profit

Final cumulative net profit: $735,348. Positive from Q2 onward despite Q1 loss.

💡 Key Takeaways & Lessons Learned

🚀 Early Scale Mismatch

Q1 was the hardest — fleet too large for passenger demand resulted in a $144K loss and Rank 12 net profit. Lesson: match fleet to demand from the start.

📈 Q2 Breakthrough

Adjusting operations led to $235,916 net profit and Rank 1 gross revenue in Q2. The team adapted quickly, proving resilience.

✈️ Route Consistency Worked

Keeping all 4 routes stable provided predictability. Route 3F 2-Month Sale was a smart demand driver.

💼 Conservative Financing

Zero debt throughout kept financial risk low. Avoided interest costs that would have reduced profitability.

🌿 Social Responsibility Pays

Environmental commitment + above-market wages created a motivated workforce — directly supporting 93–95% reliability scores.

🔄 What We'd Do Differently

Start with a smaller fleet in Q1, invest in market research reports, and potentially grow routes in Q5+ when profitability was stable.

ForD2 Airlines

Simulation Complete

$735,348	**95.0%**	**86**	**$4.13M**
Final Cum. Net Profit	Peak Reliability (Q5)	Peak Quality (Q4/Q5)	Peak Revenue (Q2)

Thank you — ForD2 Airlines Team

McKenzie Miller • Madison Turner • Kelby Smith • Md Nahid Rahman | Due: April 30, 2026 | Grader: Erick Chang